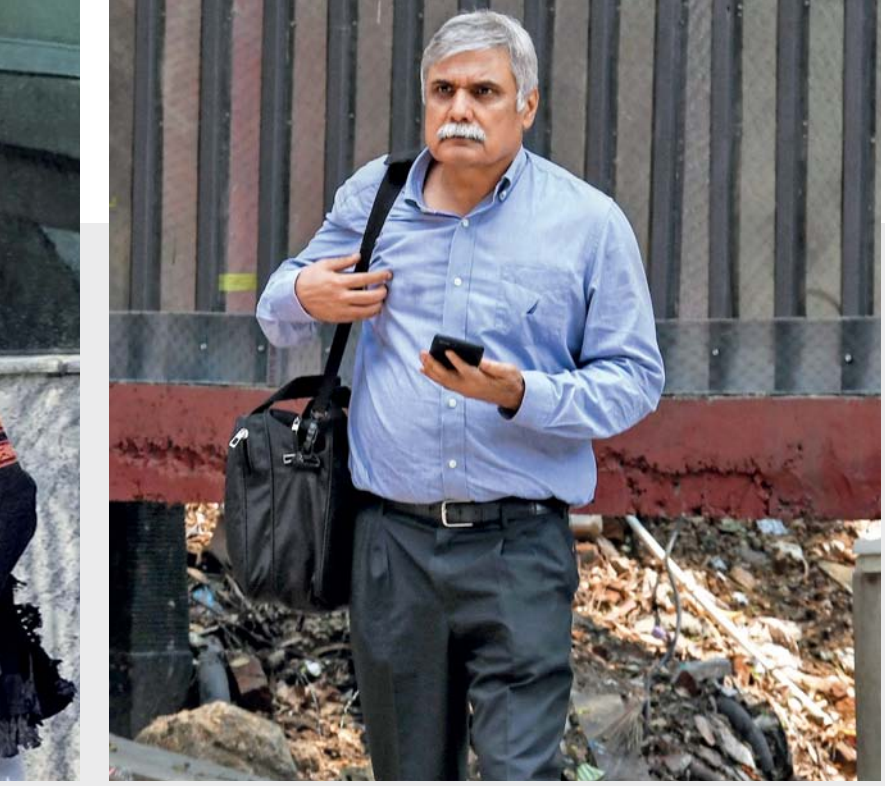


ANI

SUMMONED (Left) Former NSE MD Chitra Ramakrishna, in black shawl, at the CBI HQ in March; above, Sanjay Pandey at the ED office in Delhi on July 19

Services Private Limited, a security audit firm Pandey set up in 2001. The CBI claims that between 2009 and 2017, then NSE managing director Chitra Ramakrishna and vice-chairman Ravi Narain hired iSec to snoop on NSE employees to find out if the victims were leaking exchange-related information. The firm had allegedly received around Rs 4.45 crore as the contract amount. This was also the period of the co-location scam at the NSE.

Co-location refers to the way IT resources are installed. The scam pertains to alleged unfair practices by Ramakrishna and Narain, wherein they provided some brokers faster co-location facilities with better hardware specifications while engaged in algorithmic trading. That allowed them unfair advantage, resulting in huge trading gains. The Securities and Exchange Board of India (SEBI) has found that such preferential access was given to at least 15 stock brokers at NSE's co-location facility. In 2019, the Sebi directed NSE to disgorge Rs 624.89 crore and barred it from accessing the market for funds for six months. It also asked Ramakrishna and Narain to part with 25 per cent of their salaries during the period and prohibited them from associating with any listed company or market infrastructure institution for five years. After the scam was gradually uncovered in 2015-16, both Ramakrishna and Narain had resigned.

During its probe into the scam, the CBI claims to have recovered payment receipts to iSec, voice samples of recordings and original transcripts of the recordings. Two laptops were recovered from the premises of iSec. Evidence of phone-tapping was found on four MTNL lines, with each line accommodating 30 calls at a time. The agency had conducted searches at 18 premises in Mumbai, Pune, Kota, Lucknow and Delhi-NCR, including the residence of Sanjay Pandey.

A Sebi statement read: "It was alleged that from 2009 to 2017, the accused and a private company conspired to illegally intercept the telephones of NSE employees.... The private company was allegedly engaged in the guise of conducting a 'Periodic Study of Cyber Vulnerabilities' at the NSE. It was further alleged that top officials of NSE issued agreements (work orders) in favour of the private company and illegally intercepted the phone calls of its employees...in contravention of provisions under the Indian Telegraph Act." The ED too has filed a case under criminal sections of the Prevention of Money Laundering Act (PMLA) against Ramakrishna, Narain and Pandey. The agency arrested Ramakrishna on July 13.

IT IS ALLEGED THAT PANDEY'S FIRM ISEC RECEIVED RS 4.45 CRORE FROM NSE FOR SNOOPING ON EMPLOYEES

Sanjay Pandey, a graduate from IIT Kanpur, had built a reputation as an honest, no-nonsense officer. Loath to bow before political masters, he quit his job in 2001, setting up iSec Services. He rejoined the force in 2011.

Pandey created a sensation when his report to then Maharashtra CM Uddhav Thackeray in 2020 concluded that a senior IPS officer was hand-in-glove with fugitive gangster Dawood Ibrahim. Impressed, Uddhav appointed him as acting DGP in April 2021 without the mandatory approval from the Union Public Service Commission. During his 10-month stint, Pandey approved action against IPS officers Rashmi Shukla and Param Bir Singh. Shukla and Singh were on Uddhav's radar for leaking details of his ministers' alleged corruption. Pandey's move to book them in cases of illegal phone-tapping and extortion respectively was seen as his doing the bidding of political bosses. Uddhav named Pandey as Mumbai police commissioner in February 2022. Under his watch, BJP leaders Nitesh Rane and Mohit Bharatiya were booked in minor cases, and independent MLA Ravi Rana and his MP wife Navneet were arrested for threatening to chant the Hanuman chalisa in front of the CM's residence.

A public projection of transparency was Pandey's forte. He used to travel from his residence in Andheri to his office in south Mumbai in crowded local trains. He made his phone number public for Mumbaikars and took remedial action on complaints posted on his Facebook page. He is also the first commissioner to be arrested by the ED in a case linked to money-laundering. We'll soon know if the much-touted transparency was a false facade. ■